

The *yield* is the yield to maturity based on the ask price paid by the investor—the return the investor would get for buying the bond today and holding it to maturity. If the ask price matches the face value, then the yield will be the same as the coupon. If the ask price is higher, then the yield will be less than the coupon, and if the ask price is lower, then the yield will be higher than the coupon. Why? This gets back to the point I was stressing before about how the coupon rate never changes. The bond provides a promise for a fixed set of payments. It pays all the fixed coupon amounts and repays the face value at the maturity date. These payments do not change. But bonds can be sold and resold on secondary markets prior to the maturity date. If I pay \$900 for a bond providing a fixed set of promised payments, then I'm going to get a higher return on my \$900 investment than if I paid \$1,100 for the same set of promised payments. Lower ask prices imply higher yields, and vice versa.